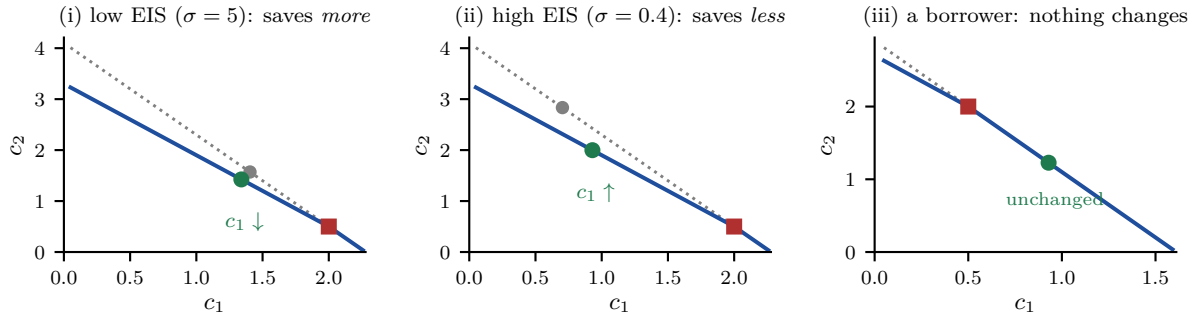


6.6 — a tax on interest income kinks the budget set at the endowment ($r = 0.8$, $\tau = 0.5$, exaggerated for legibility)



..... old: slope $-(1 + r)$ throughout — new: $-(1 + r(1 - \tau))$ when saving